THE ALLEGED 'FRAUD' TRAIL

Financial misconduct, as claimed by the ED

Loans taken by one entity from one bank were used to repay loans taken by other entities from other banks, transfer to related parties and invest in mutual funds—in contravention of the terms and conditions of the loan sanction letter

RCOM and other companies **diverted over ₹13,600 crore** for evergreening of loans, of which over Rs 12,600 crore went to connected parties and over Rs 1,800 crore was invested in FDs and MFs, which were substantially liquidated and rerouted to group entities

Loans were disbursed without due diligence, many of them processed on the same day as the application and sanction. In certain cases, loans were extended even before applications were submitted

Huge misuse of bill discounting for the purpose of funnelling funds to connected parties. Certain loans were siphoned off outside India through foreign outward remittances

Large-scale diversion and on-lending of funds to group-linked entities were "intentional and consistent control failures"

Between 2017 and 2019, Yes Bank invested Rs 2,965 crore in Reliance Home Finance Ltd (RHFL) and Rs 2,045 crore in Reliance Commercial Finance Ltd (RCFL) via various instruments, which turned non-performing by December 2019, with Rs 1,353 crore outstanding for RHFL and Rs 1,984 crore for RCFL

Funds collected by Reliance Nippon Mutual Fund from the general public through MFs were allegedly routed via Yes Bank's exposures to RHFL and RCFL. These eventually found their way into group companies



WHAT ADAG SAYS

"A majority of the assets, by value, attached by ED, belong to Reliance Communications, which is under the control of the Resolution Professional and the committee of creditors, led by State Bank of India"

— **Reliance Group statement**

"We wish to inform that certain assets of the company have been provisionally attached by ED for the alleged violations under PMLA. There is no impact on the business operations, shareholders, employees or any other stakeholders of Reliance Infrastructure Limited. Anil D. Ambani is not on the Board of Reliance Infrastructure Limited for more than 3.5 years"

— **Reliance Infrastructure**